

Contestant ID: _____

Time: _____

Rank: _____



ADVANCED COLLEGE ACCOUNTING (115) **STATE 2023**

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (57 points)

Problem 1: Inventory Entries _____ (40 points)

Problem 2: Depreciation Methods _____ (48 points)

Problem 3: Inventory Costing Methods _____ (40 points)

TOTAL POINTS _____ **(215 points)**

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice

Identify the letter of the choice that *best* completes the statement or answers the question.

1. On December 31, 2022, Jones Company understated ending inventory by \$52,000. How does this error affect Cost of Goods Sold and Net Income for 2022?
 - A. Overstates Cost of Goods Sold and understates Net Income
 - B. Overstates both Cost of Goods Sold and Net Income
 - C. Understates Cost of Goods Sold and overstates Net Income
 - D. Leaves both Cost of Goods Sold and Net Income correct because the errors cancel each other
2. Broad, Inc. had a beginning inventory of \$50,000 and an ending inventory of \$80,000. Its Cost of Goods Sold for the year was \$970,000. What was the amount of purchases that it made for the year?
 - A. \$940,000
 - B. \$1,000,000
 - C. \$1,050,000
 - D. \$1,060,000
3. Assume the Hart Company uses the allowance method. When the company writes off a customer's account balance that has no chance of collection:
 - A. Total assets will decrease
 - B. Total liabilities will increase
 - C. Expenses and revenues will both increase
 - D. Total assets do not change
4. If beginning inventory is \$200 and purchases are \$800, which of the following could be true?
 - A. Ending inventory is \$400 and Cost of Goods Sold is \$600
 - B. Ending inventory is \$800 and Cost of Goods Sold is \$800
 - C. Ending inventory is \$200 and Cost of Goods Sold is \$200
 - D. Ending inventory is \$200 and Cost of Goods Sold is \$600
5. When costs to purchase inventory are decreasing, using LIFO leads to reporting _____ cost of goods sold and _____ net income than FIFO.
 - A. Lower; lower
 - B. Higher; lower
 - C. Lower; higher
 - D. Higher; higher

6. If ending inventory in Year 1 is misstated, then Year 1's ____ also must be misstated.
 - A. Beginning inventory
 - B. Cost of Goods Sold
 - C. Goods available for sale
 - D. Purchases

7. Hudgens Bakery estimates the allowance for uncollectible accounts at 2% of the ending balance of Accounts Receivable. During 2022, the bakery's credit sales and collections were \$123,000 and \$141,000, respectively. What was the balance of Accounts Receivable on December 31, 2022, if the allowance account had a balance of \$750 after adjustment on December 31, 2022?
 - A. \$18,000
 - B. \$41,000
 - C. \$37,500
 - D. \$18,750

8. The book value of a depreciable asset can never be less than its
 - A. Market value
 - B. Historical cost
 - C. Capitalized cost
 - D. Residual value

9. On the maturity date of a \$7,800, 3-month, 8% note, the borrower sends a check that includes the principal and all the interest on the note. What is the amount of the borrower's check?
 - A. \$7,956
 - B. \$9,672
 - C. \$7,800
 - D. \$8,424

10. Garfield Corp. wrote off \$1,100 after the company's management determined a specific customer will not pay their balance. Garfield had Accounts Receivable of \$170,000 and an Allowance for Doubtful Accounts of \$11,000 before the write-off. What is the amount of net Accounts Receivable after the write-off?
 - A. \$168,900
 - B. \$157,900
 - C. \$170,000
 - D. \$159,000

11. If a fully depreciated asset with no residual value is retired to a junk yard without receiving any cash.
 - A. Depreciation must be recorded as though the asset were still on the books
 - B. A loss on disposal will be recorded
 - C. No gain or loss on disposal will be recorded
 - D. A gain on disposal will be recorded

12. Manuel Inc. uses an accelerated depreciation method while Miranda Corp. uses the straight-line method. All other things being equal, during the first few years of the asset's use, Manuel will show which of the following compared to Miranda?
- A. Higher asset values and higher net income
 - B. Higher asset values and lower net income
 - C. Lower asset values and higher net income
 - D. Lower asset values and lower net income
13. The entry to adjust the Allowance for Doubtful Accounts causes total
- A. Stockholders' equity to decrease
 - B. Liabilities to increase
 - C. Assets to increase
 - D. Stockholders' equity to increase
14. If a company expenses costs that should be capitalized, how is its income statement for the current period impacted?
- A. Net income is overstated
 - B. Assets are overstated
 - C. Expenses are overstated
 - D. Revenues are understated
15. Assuming an asset is used evenly over a four-year service life, which method of depreciation will always result in the largest amount of depreciation in the first year?
- A. Units-of-production
 - B. Double-declining balance
 - C. Straight-line
 - D. Fair market value method

Short Answer

1. When originally purchased, a truck had an estimated useful life of seven years. The truck cost \$68,000 and its estimated salvage value is \$5,000. After five years of straight-line depreciation, the asset's total estimated useful life was revised from seven years to nine years, and there was no change in the estimated salvage value.

What is the depreciation expense in year 6?	
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2. Williams Inc. has measured its December 31, 2022, inventory on a FIFO basis at \$200,000. Information pertaining to that inventory follows.

Item	Amount
Estimated selling price	\$208,000
Estimated cost of disposal	12,000
Normal profit margin	30,000
Current replacement cost	190,000

On December 31, 2022, what is the loss that Williams should recognize? Assume no previously recorded inventory losses.	
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3. Efron Company reported a gross profit percentage of 28% with net sales of \$1,400,000.

What is the amount of cost of goods sold?	
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4. Jackman Inc. separately sells home security equipment and 12 months of security monitoring service for \$160 and \$340, respectively. The company sells an equipment/monitoring bundle on January 1 for a total price of \$450. The monitoring service begins immediately after the equipment is delivered and installed on January 1.

How much revenue should be allocated to the equipment for each bundled sale?	
How much revenue should be allocated to the monitoring service for each bundled sale?	
How much Sales Revenue should be reported on the January 31 Income Statement from the January 1 bundled sale?	
How much Service Revenue should be reported on the January 31 Income Statement from the January 1 bundled sale?	

5. Carlyle Corp. prepared the following two income statements:

	<u>First Quarter</u>	<u>Second Quarter</u>
Sales Revenue	\$21,500	\$25,800
Cost of Goods Sold		
Beginning Inventory	\$4,300	\$5,300
Purchases	<u>8,300</u>	<u>13,300</u>
Goods Available for Sale	12,600	18,600
Ending Inventory	<u>5,300</u>	<u>10,300</u>
Cost of Goods Sold	<u>7,300</u>	<u>8,300</u>
Gross Profit	14,200	17,500
Operating Expenses	<u>6,300</u>	<u>7,300</u>
Income from Operations	<u>\$7,900</u>	<u>\$10,200</u>

During the third quarter, the company's internal auditors discovered that the ending inventory for the first quarter was understated by \$950. The ending inventory for the second quarter was correct.

	Overstated/Understated/ No Effect	Amount
What effect would the error have on Income from Operations for the first quarter?		
What effect would the error have on Income from Operations for the second quarter?		
What effect would the error have on Income from Operations for both quarters combined?		

6. Lutz Co.'s accounting records include the following information.

Item	Amount
Inventory, January 1, 2022	\$1,000,000
Purchases during 2022	5,000,000
Sales during 2022	6,400,000

A physical inventory taken on December 31, 2022, resulted in an ending inventory of \$750,000. Lutz's markup on cost has remained constant at 25% in recent years. Lutz suspects that an unusual amount of inventory may have been damaged and disposed of without appropriate tracking.

Using the gross profit method what is the estimated cost of missing inventory on December 31, 2022?	
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7. Larson Manufacturing purchased a new machine at a cost of \$187,000 with terms 3/15, n/45. Payment was made within the discount period. Shipping costs were \$5,400, which included \$320 for insurance in transit. Installation costs totaled \$13,000, which included \$4,100 for taking out a section of a wall and rebuilding it because the machine was too large for the doorway.

What is the capitalized cost of the machine?	
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8. Michaels Corp. reported the following information:

Net Sales	\$763,000
Bad Debt Expense	47,000
Accounts Receivable Balance on Jan. 1, 2022	133,000
Accounts Receivable Balance on Dec. 31, 2022	68,000
Allowance for Doubtful Accounts Balance on Jan. 1, 2022	55,000
Allowance for Doubtful Accounts Balance on Dec. 31, 2022	75,000

How much did Michaels write off during the year?	
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9. Whitford Inc. exchanged equipment with a fair value of \$65,000 plus a cash payment of \$10,000 for equipment with a fair value of \$75,000. Whitford's equipment originally cost \$200,000 and accumulated depreciation of \$165,000. This transaction has commercial substance.

At what amount will Whitford record the new equipment?	
Will a gain or loss be recorded on this transaction?	
What amount of gain or loss will be recorded?	

Problem 1 (40 Points)

Lind Inc. sells all of its inventory FOB destination. For the year ended December 31, the company reported inventory of \$77,000 and cost of goods sold of \$434,000.

- A. Included in the inventory balance (and Accounts Payable) are \$11,400 of inventory items Lind is holding on consignment.
- B. Included in the inventory balance are \$5,700 of office supplies held in Lind's warehouse.
- C. Excluded from the inventory balance are \$8,700 of inventory items in the warehouse, ready to send to the customers on January 2. Lind reported these items as sold on December 31, at a price of \$16,400.
- D. Included in the inventory balance are \$3,350 of items that were damaged in December and will be scrapped in January, with no realizable value.

For each item (A-D), prepare the journal entry to correct the balances presently reported. If no entry is required, write "No entry required" in the first account field.

Transaction	General Journal	Debit	Credit

Problem 2 (48 Points)

Light Corp. acquired a new piece of equipment for \$20,000 on April 1, 2023. The equipment will be depreciated over a five year useful life, with a residual value of \$5,000. Light uses the half-year convention. Prepare the depreciation records under the following methods.

Straight-Line			
Year	Depreciation Expense	Accumulated Depreciation	Net Book Value

Double-Declining Balance			
Year	Depreciation Expense	Accumulated Depreciation	Net Book Value

Sum of Years' Digits			
Year	Depreciation Expense	Accumulated Depreciation	Net Book Value

Problem 3 (40 Points)

Barnum Inc. had the following balances and transactions during 2023, from January 1 to December 31:

Beginning Merchandise Inventory	300 units at \$84
March 10	Sold 150 units at \$150
June 10	Purchased 850 units at \$103
October 30	Sold 480 units at \$160

Assume the perpetual inventory system and is used (Round unit costs to two decimal places.)

FIFO	
What would be reported as Cost of Goods Sold on the income statement for the year ending December 31?	
What would be reported as Gross Margin on the income statement for the year ending December 31?	
What would be reported as Ending Inventory on the balance sheet for December 31?	
LIFO	
What would be reported as Cost of Goods Sold on the income statement for the year ending December 31?	
What would be reported as Gross Margin on the income statement for the year ending December 31?	
What would be reported as Ending Inventory on the balance sheet for December 31?	
Weighted Average	
What would be reported as Cost of Goods Sold on the income statement for the year ending December 31?	
What would be reported as Gross Margin on the income statement for the year ending December 31?	
What would be reported as Ending Inventory on the balance sheet for December 31?	
Assuming that Barnum uses the FIFO inventory system, what is the LIFO Reserve?	